Eric Lay: 00:00
It. Hello?

Zhen Lu: 00:31
Hey, Eric, how's it going?

Eric Lay: 00:33
Good. Nice to meet you.

Zhen Lu: 00:36
Nice to meet you. Calling from today, I'm from New Jersey. Are you in Bay Area?

Eric Lay: 00:41
Yeah, yeah, yeah.

Zhen Lu: 00:43
Pretty early for you. Thanks for taking early call.

Eric Lay: 00:45
Oh, yeah, no worries. I try to make as much time for east coast hours as possible.

Zhen Lu: 00:52
Yeah, I think it's pretty difficult both ways, especially when I was recently overseas in China. The time zone between west coast and China is like freaking impossible.

Eric Lay: 01:05
Oh yeah, that one's pretty bad. Yeah.

Zhen Lu: 01:10
Cool.

Eric Lay: 01:10
So go ahead.

Zhen Lu: 01:11
Yeah, go ahead.

Eric Lay: 01:12
I was just going to ask how much context you had coming into this call. How much?

Zhen Lu: 01:17
I have a little bit. So I think that you know Luke and you've spoken a lot to Zach Golsby is my understanding. One of the things that people have been bugging me about is that I'm pretty, pretty shit at social mostly because I just, I don't make the time and I haven't built it as a habit. And so Zach in particular was like, hey, we should probably figure out how to augment this until we kind of get going. So he had said that Vereo, the company's vireo, right?

Eric Lay: 01:56
Yeah.

Zhen Lu: 01:57
Yeah. So you're leading this company. You don't have a whole ton of compute needs, but maybe there's something to be done in terms of maybe you can commit to something for Run Pod and then Run Pod can kind of go back and commit to something from your services as well. I guess that's kind of the extent of the context that I've got. Pretty high level. But yeah. Tell me what I may have missed.

Eric Lay: 02:22
Yeah, I think that that sounds pretty right. I think like, we probably will have more compute needs like coming into the new year transparently. Like.

Zhen Lu: 02:33
Yeah, I heard that you're going to start thinking about either fine tuning or training some models for your use case, which is pretty cool.

Eric Lay: 02:41
Yeah. So especially because, like we're launching out of stealth at the end of this month. I think, like before, like we got a lot.

Zhen Lu: 02:50
Can you really say you're in stealth though? I feel like it's in quotation mark stealth.

Eric Lay: 02:56
It's just we haven't opened up the floodgates. I think that's kind of what it is because we just haven't launched publicly because I kind of build in public. You're right. I don't know if it's like fully stealth because like I'm building in public while saying stealth.

Zhen Lu: 03:09
Yeah.

Eric Lay: 03:10
But I think the meta these days, I don't know how you guys really blew up, but the meta these days is having one of these viral launch videos and then hitting 5, 10 million ARR.

Zhen Lu: 03:25
The way that we launched Runpod is because we were both part time, we had full time jobs when we launched it and we probably stayed at our full time jobs way too long after. But we launched it on a Sunday evening est, right on Reddit. No production values, nothing. It was just like the shittiest thing in the world. We definitely didn't have a viral launch or anything like that. But it was pretty, I guess, relatively fast as startups go. But it was like slow roll.

Eric Lay: 03:59
Got it. But I think a big part for you guys. Right time, right, Right place, AI boom. And people needed solutions. Right. And I think it's just, I think that's so much of building startups is just like catching on the right wave and then having the right solution when the gold rush comes in. So I think what you guys have done is really impressive. Grew really fast and without much marketing.

Zhen Lu: 04:26
Yeah, exactly. But we need to get better at it is a thing because we can't just sit on organic growth forever. So maybe, I don't know, tell me about Vireo. Like I know a little bit about it, but into your website, whatever you think is the most salient.

Eric Lay: 04:40
Yeah, yeah. So website's a bit outdated. Like we haven't cared to update our website yet just because like we, we get kind of organic inbound just from my LinkedIn, from like dog feeding our own products. So like that's cool. Yeah. But in terms of like what we're really focused on, it's this new like social selling motion for enterprise sales. I think like there's a lot of like consumer platforms that are optimized for like creating content for like consumer. But there aren't that many that are optimized for enterprise. And the enterprise use case for content is very different from like the consumer use case for content. Now I come from the consumer background so like I know a lot about like the general viral stuff. I like grew multiple accounts on like YouTube and Instagram to like millions of followers. Generated billions of views. But then when I came into like the B2B world, one thing that I learned is different is like the message to everyone is a message to no one. And so like what we're really focused on is like helping B2B founders and executives like yourself target like more niche like enterprise buyers. So like I think something I talk with Zach about and I'm curious on like where your focus is, whether

it's like going after like some of your existing customers that are part of these big logos and figuring out like, okay, how do you like, move up the chain and get them to get larger adoption across the whole organization? Get into some of those, like, you know, maybe it's the CTO decision maker, right? The VP of engineering, the head of AI or something like that, or head of Infra. And so it's like, how do you get in front of like, you know, I'm sure you have some, I think I heard, like customers like meta or like TikTok or something like that. How do you get like deeper within those organizations or whether the goal is like more mass market and the strategy is a bit different. But I think one thing that we do a really good job of is like creating much more niche, targeted content. Because, like, I think a lot of the stuff you'll see on LinkedIn, they do the generic, like how I got into YC, blah, blah, blah, or like I hit a million ARR. But I think the, the content that we're really excited about creating is like figuring out what do your customers actually care about? What are they looking to learn? Because we see like LinkedIn shifting into more of like a learning platform. That's like what I've talked to their executives about, which is like what you go on LinkedIn, you want to be able to follow certain executives to learn the state of the industry, to learn about, like, what are the best practices to be successful in their line of work or in their field of business. And so that's kind of like high level, you know, what we focus on. I'm curious to also understand, like on your side, what is the main objective? Is it like if you were to start creating content? And I know we, on our website, we say we do video. We aren't focused on doing video content anymore just because, like we find like text content has actually been performing better recently for the last couple months. So I stopped creating videos myself. I also know, like with someone like you, I was telling Zach earlier was that anything we could do to reduce the barrier of entry to start creating content is probably the best start. So that way, like, you know, you can get some like, you know, lower friction wins. But what is the win on your side if you were to start investing in building the brand, building your brand, getting yourself out there, Is there like a specific demographic that you're really trying to target? Is there like an audience that you want to build reputation?

Zhen Lu: 08:29
That's a good question. I would say that there's, it's a bit bifurcated Actually, so one of the things that I kind of miss is that when we first started RunPod, right, we actually did not ramp headcount very quickly. And so not that long ago, two years ago or whatever, both Pardeep and I were. We were running like customer support, right? And we were in the community. I remember being in like some random artists discord at like midnight and just like, you know, chatting with people around, you know, their workflows and it was super fun. And you kind of build that relationship with like the community, right? And I haven't had or made the time to do as much of that kind of thing more recently. So I fear that over time I'm losing kind of touch with that kind of part of our user base where

they are the innovators in this space. And that has evolved a bit over time, but kind of trying to figure out how perhaps to reconnect and maybe somewhere like LinkedIn is not the place for that, but that's something that is kind of top of mind. The other thing is, is kind of like on the opposite end. The opposite end is really kind of one thing that I get feedback on is like, hey, you know, the people that know about Run Pod seem to really love runpod, but we have not, as a company and I have not as a founder, done a whole great job and honestly just haven't put that much effort into like spreading the word from a kind of thought leadership by, like getting, you know, my personal opinions out there writing more about that, whether that's LinkedIn or otherwise. And so therefore we're like, we're like in this weird spot where we. We're like the. The company that looks smaller than it actually is and we're like actually doing quite well from a revenue and whatnot perspective. And so, like, I find myself once in a while, like, hear about a company, whether that's through pr, whether that's through the grapevine, and I'm like, shit, I thought they were 10 times bigger than they actually are. We're actually bigger than they are, but we feel like we're smaller than they are, which there are pros and cons. But I think we're getting to the point where, as you said, we're still B2B. Most of our revenue does come from businesses. Now those businesses lean more towards being startups rather than being like true enterprise. But as time moves on, I see the need for us to kind of start elevating the brand in that direction. And I believe our social is kind of one. One of the facets that we kind of need to up level.

Eric Lay: 11:29
Yeah. And I will say like different channels have like different strengths and weaknesses. Like I think the one thing that's really good about LinkedIn as a platform, I know a lot of founders look down at LinkedIn as a platform and they make fun of it. But one of the strengths is like your ability to actually niche down and target actual like decision makers at companies that have money. And so, so I think like that's something that you just cannot do on any other platform because like LinkedIn you actually get to know like what company are they at, what like job titles do they actually have. Right. And so like there's a lot more targeted content you can do. So if I were to think about like how to make the most out of LinkedIn, I would really think about like what is the audience that you want to really like, either penetrate or become the person that like everybody knows. Because there's a big advantage when you become that individual. A for like recruiting, B for like customers where it's like you want to get to the point where when someone's making a decision for like where to buy compute from, you are one of the first names. Sort of like when you're picking a CRM, you only think of two. You think of Salesforce, you think of HubSpot, and then there's a whole bunch of others that like would have to like go outbound to you and like would have to like really sell you and somehow know you already for you to even consider a third option. And like the question is like, how do we help you become like the only, one of the only default

options that people talk about. But I think with any like you guys are like a scale up. You're not a startup, you're not you know, like a like enterprise or. Right. You're kind of like in between. For a company like you, it still makes sense to focus on an area and have like a clear idea of where do you want to be the number one player in or top one, top two. And then by winning that market and then winning the next. Because like on LinkedIn it can get crowded sometimes. Try to be like the everything for everyone. Then it's like you don't have as strong of a raving fan base to be like, okay, like you want to like build this community of like evangelists who like when they talk with their friends about compete, it's like I heard about this run pod company, like they are the best at X, Y and Z. Even though you can serve multiple audiences so I'm curious, like if you have like a, an idea of like where you want to win, like, and I usually filter it by company size, by industry, by job titles. Right. Where do you want your tribe initially to be? And then there's an expansion opportunity where eventually like you could get your CTO to also own a separate segment to get coverage on 2. Because like where a lot of companies fail is when I talk to the founders and they have multiple founders, multiple C suite exacts or VPs, all targeting the same demographic. And it's just unnecessary, interesting, wasted effort. And so what we do, what we try to like optimize when we work with companies is like each person should own a very targeted message because like, then you have a differentiated message. If you have four people speaking a very broad generic message, then it's like you aren't as differentiated. But if you have one person who directly speaks to their pain points and only theirs, and another who speaks another one, you. And in your like sales cycle you might have like 10 people in the buyer's community or like five people in like, especially on the enterprise side when you're moving up market, there might be five different Personas at a company. It's good to have certain people like own certain Personas and even potentially segment by verticals. But that's just like a quick like way that like I think about content, what I've seen work best. Yeah, but what would you say is like your most lucrative? I would always start with where, where you're having the most success and expanding on the things that are already working because that's how you get momentum and then use that as leverage to go expand to like adjacent targets.

Zhen Lu: 15:38
Yeah, sure, yeah, let's. Where we're having the most success from a revenue perspective. Funded startups generally around their first or second official funding round, somewhere between one and $20 million, small team, single product, AI native. Right. That's definitely the most successful kind of archetype. Now as far as industry, we're historically seeing a lot coming from the media generation side of things. However, some of those companies are then expanding out into text and audio and then we're also getting other companies that are coming in and starting with text or audio. So looking at kind of companies that find value just getting to market quickly. With Run Pod,

they don't have like a, like a Kubernetes expert or ML or cic, you know, kind of DevOps lead as one of their core competencies. So they find value in Run Pod being able to get them to Market faster because they don't have to build an entire platform underneath their kind of foundational tech. See, so that's, that's kind of like where, where we're finding the most success in terms of like people that not only want to pay us money, but have the pockets. Right. The, the funding helps. A lot of them are post revenue, so they already have something in production. They're generally running inference on us. Some people come in and do the training first, then run inference. I would say most of them actually start with inference at different levels of scale and then scale it up from there.

Eric Lay: 17:39
Got it. So are these companies that are doing. Building their own models more so or fine tuning? Typically fine tuning. Okay, so it's usually more on the application layer that you have the best use case rather than on building their own sort of base model.

Zhen Lu: 17:59
Correct? Yeah. Okay, we have a few people that are training foundation models, but that's an expensive game. Not nearly as many people doing that kind of stuff.

Eric Lay: 18:12
Yeah. And so how much are these companies worth to you guys when you get, let's say a company that is on the application layer raised a couple million. Right. Or raise 10, 20, like how much are they spending year over year?

Zhen Lu: 18:31
Been counting it generally on months, but like we can scale it up. Like the most valuable ones are, you know, let's, let's say single digit millions. And then I think like the median is probably, you know, like 50 to 100k.

Eric Lay: 18:51
Got it. Okay. So they're still like extremely valuable to get in front. Do you have like a sales team?

Zhen Lu: 18:57
We have, we have a sales team that is. It's kind of like I've reorgang them quite recently and downsized the team. So it's four people pretty early in their careers. They're kind of just trying to figure it out.

Eric Lay: 19:15

Got it. Okay. So they're just like scrappy smart people who are like more like engineer types, I'm guessing, who might be more like solutions engineers.

Zhen Lu: 19:24
We have also like a small team of just a few people that are in FDE roles. So those are more on like the engineering, like sales engineering side of things. The, you know, sales team right now is kind of figured out, trying to figure out like how, how best to kind of evaluate because what happens is we get quite a lot of inbound and a lot of it's just noise because we are currently dealing with a kind of positioning issue where historically what we built was closer to the hardware in the infra. And more recently, let's say in the last year or so, we've been trying to strongly reposition as more of a platform and more of a software play. And so we still have because you know, this is just how it goes. You know, a lot of people just want compute and so some people come to us and they just want GPUs and we're like, you know, we kind of do that. But that's not necessarily the thing that's going to make you love runpod. It's you know, the software layer. Plus you don't have to go source the compute yourself. So it's kind of like when we get a lead, a lot of it is inbound. How do we qualify it and what makes a good customer that's actually going to spend money with us because they have limited amount of time and we can't chase down every single one. Then we are also trying to figure out what does lead generation at that level look like. Historically we've been very organic. Everything's inbound, right? A lot of it's self serve. What does outbound look like? How do we actually increase the velocity of our sales? What we've seen is we've through better classification and whatnot, we're able to kind of generate larger and larger deals and sign larger and larger deals. But it's not necessarily clear to us how we, how we really pour some fuel on that fire.

Eric Lay: 21:34
Got it. I think the first stage to me is classifying and like clarifying what are like if you have to get very specific, who are your best customers? Like if you had to like name the companies or pick verticals or like describe the companies and what are the commonalities, right. The more specific you can get, the easier your team will have like time. Your team will have to sell and to market and to bring. Because like if you have a very strong inbound motion, you can have a like very strong like inbound outbound motion too. Which is like what we kind of call like warm outbound, like reaching out to people who have shown some level of interest or intent. I think those are like motions that like would be extremely valuable for you guys to implement if you haven't already, like tracking website visitors. Like maybe the people who get lost in checkout but don't actually go through, but then being able to like enrich those leads to be like okay, what companies are these people at? What's their job title? Because there's a lot of tools like that out there now, like AI tools that you know, help you figure those things out and then

you can prioritize like where you Go outbound. And then the more you like streamline your messaging, even like publicly online, like on social, it's like if people see you posting and talking about like these specific use cases or these specific industries, verticals, job functions and stuff like that, then like you're gonna start attracting people who will be like raising their hand and being like interested in specifically what you guys do. And so like if I like kind of pare back stuff that you said earlier, you're Talking about like 1 to 20 million in funding like, like on the application layer of like AI companies. Is there any other archetype if you had to niche down like what is the, who is the decision maker or who are the people that matter the most to you at those companies and then also any like industries within that. I'm guessing like for you you may not need to niche down much further like as a CEO of the company, but I think eventually you might want to split up sub focuses across like other executives. Yeah, yeah.

Zhen Lu: 23:49
Let'S see. Where can I. So one of the, one of the struggles. So if we wanted to niche down, right, the obvious one would be you know, consumer facing companies that are creating like mobile applications, right? So we have a lot of, we have a lot of customers that are building businesses for consumer and so like an example is we have a customer that's paying us several million dollars a year. They run one of the Top Hundred Top 50 Apple Store consumer facing photo applications. So what they're doing is they're running all their inference on us. And so that's an archetype. Another type of archetype would be a similar use case. I don't believe that. I'm not sure if they were on the app Store or not. But consumer facing real estate staging stuff, that's a pretty common use case. If you'll notice, these things tend more towards media. What we found is that to build a large enough use case for text and LLMs to generate meaningful revenue is much harder because media is just more expensive per token. However, we have seen some success there and what we see is there's not as much in terms of theme or unification in those types of use cases. The challenge is that where I would like to see the company go is actually the analogous kind of I used to work in a big tech company that's not necessarily used to work Comcast. They're like big tech but they're not like a technology company, even though they kind of want to be a technology company. And what you'll find in these large enterprise Companies that are not necessarily like, they don't necessarily have roots in technology, which is quite a lot of companies, they don't have or they have a very hard time building the internal platforms for all of their development teams. Therefore, just like in traditional software development, where companies need to buy a good amount of off the shelf software that's going to serve their, let's say, 80% of their needs, every company is weird and every company is going to need to build their own bespoke software and, and then you get software development teams, they got to build on something. And so if you're like Google, Netflix, right? If you're like one of these companies that have engineering at its

core, then you've probably had somebody in leadership invest early on in a bespoke platform and they're going to force everybody to use that. At the majority of companies like Comcast, somebody tries to do that and it's just an epic failure. And so as an engineering manager, I was like, people were trying to force that down my throat. They're like, hey, you know, there's this internal cloud, Comcast cloud platform, you should use it. And my answer almost every single time was like, fuck no. And I finally said yes for like one project and I used it for like a year and then they sunsetted it because it was garbage anyway. And I kind of knew it was going to happen, but I was like, all right, you know, we'll try it one time. So I believe that something analogous is going to need to happen for AI and agents. And so it's going to need to be like Kubernetes, light plus batteries included, to enable AI systems development inside the enterprise. For software development teams in enterprises that don't have this Kubernetes first AI and software development first culture, which is, I would say the vast majority of companies out there, they're going to need that. Right. So I would like to see kind of how we can start setting the stage for that as we evolve towards those kinds of use cases. And maybe to kind of what you said earlier, that's like maybe one executive takes that line and tries to build it. Whether that's me, maybe that's my head of engineering, I think he maybe kind of leans more towards that direction. So I don't know if that helps, but the struggle that I have is kind of like bifurcating the message a little bit or ideally looking at how to unify the message kind of over time. I think that the time evolution is really important.

Eric Lay: 28:24
Yeah, I think the benefit for the way that we work with companies is we can take a big macro message and then split it across multiple swim lanes that feed into the broader one. I think that's where a lot of like enterprises struggle is. Like they, one of the reasons why you see like companies like Google, like I was trying to talk to their like head of, head of marketing and the struggle for them is like their employees will not post content or very little if ever because they're so scared of brand safety compliance. They're very scared of like not saying the right message that Google wants them to say across like different demographics. But that's where you kind of need to have like a centralized sort of system where it's like, hey, this is the company wide strategy and this is how we like can niche down into each thing. Otherwise you get like corporate LinkedIn which is really, you know, where everyone says the same post, like repost the same post and just like changes it a little bit and that like no one engages, that no one cares about that sort of stuff. Right. And so I know what I talk with Zach about is whether it's starting off with a pilot and starting off with one account first to be like, hey, what is something that can showcase some momentum, showcase some wins with one person. And then if we can get that momentum going, then you can start expanding the motion across your whole executive team. And then with that sort of focus now you can start targeting a lot

more. Once we can show that hey, this is getting like good ROI from like one account, then it's like, okay, we should start looking at tackling like multiple segments with multiple accounts at once. But I think the, the question for, for you that I think only you can answer is like whether you're looking at going after like if you have to think about the first thing to try, whether it's trying to go after this new initiative. Right, right. Which is going more to like what we would call maybe like legacy enterprise tech companies and trying to build a new motion and trying to get some like more awareness within there, which will take more time. Right. But, or if it's like going where the people are today and then like working on that later once you've proven social on like let's say the startup in know fast growing AI, start like VC back startup space.

Zhen Lu: 30:51
Yeah, probably leaning towards the latter just because I, I do believe that it's good to kind of jump in, show some results, get some quick wins and then we can think about longer term strategy.

Eric Lay: 31:04
Yeah. So if we're talking about that demographic, are you going to Be someone who's like, down to like, create. I know, like, you don't post much on LinkedIn. What's the blocker for you to start, you know, creating more content?

Zhen Lu: 31:19
I think it's just really habit.

Eric Lay: 31:21
Yeah, yeah. Okay. I'm being honest. Yeah. So I think like the target demographic that's like super easy for you as a founder to focus on is you could talk about like the pain points of founders. Now, do you care more about getting from the CEO buyer or the CTO buyer for these or like a VP of engineering for series A if they, like a head of engineering, if they have one or mostly founder, co founder, CEO or CTO doesn't matter.

Zhen Lu: 31:50
It's kind of a mix. But it's like, generally it's an early member of the team, whether that's a founder, founding engineer, that kind of thing. These aren't generally super huge teams we're seeing, especially with AI native startups. Like, teams are lean. Right. They're not going to have a whole ton of headcount. Definitely. Like sub 50, probably. So at that point, you know, whether or not the person is doing the job of a VP of engineering or not, like, they might not have the.

Eric Lay: 32:20
Title, but they're a founding engineer and they are running the show.

Zhen Lu: 32:24
Yeah, but most like, yeah, they're generally pretty technical. Even the CEOs, like, if they're not building the thing, they, you know, they can talk about the product because they're just. They're close enough to it.

Eric Lay: 32:35
Right? Yeah. Now for you, my recommendation would be to probably focus your content on the founder level. And then, and then if you wanted to roll in, like your cto, like, you can have your CTO talk, focus to more of the CTO of track. Right. Or like founding engineer, head of engineering. So I think, like, if enough of the founders, like founder CEOs are actually caring about, like, are like making decisions on this. Like, are they, like, are they the most important buyer? Or is it like the CTO is like a lot more important than the.

Zhen Lu: 33:12
CEO generally at this point? I think it's kind of a group decision. Like for example, right now, one of the, one of the companies that we're talking to, we're trying to close, the CTO loves the tech and he's like, I want to use runpod and the CEOs like, but this other place is like way cheaper. And so they're like kind of fighting between the two of them to like, from the CEO's perspective, I mean, I think he's technically the final Decision maker, right? CEO. But the CTO is like, look, man, I don't want to change anything. Like, this is working really well. I'm not sure who's going to win, right? So I think that's kind of the dynamic where the. Right now, because the product is geared more towards the user, right? If you get a CTO CEO kind of mix where the CEO is not as technical, then, you know, we can probably convince the CTO the CEO is going to be more like, you know, price sensitive, if you will, and then they're just gonna have to, you know, fight it out and we're gonna have to try to.

Eric Lay: 34:21
Eventually you're gonna have to go after both, right? But I think like, if we want to think about like, what is a good scalable content strategy, right, it would be probably CEO talking to CEO, CTO talking CTO for the messaging, right? Because I think that feels more authentic. And I think the stuff that we would reverse engineer around is like, what are seed or series A founders, like, really caring about what are their pain points? It almost always is the same. They're usually the same sort of topics, which is like fundraising, recruiting or customer acquisition. And I think the other side, at least at the CEO level. And then I think it could be like product, you could talk. But one thing that I

would caution you against, which a lot of CEO founders like screw up on is like they focus too much on talking about the product, which sounds like contradictory because it's like, oh, product is everything. Which is true for like the business. But from a marketing standpoint of how do you actually drive demand? You want to position yourself as the person that every CEO wants to meet. And so like, if you focus on just talking about the product, then it's like you're selling and then you're like, but you don't want to be the person selling. You want to be the person that is solving their problems and like teaching them things about how to be a better founder. And so you want them to see you as like the trusted authority. I see you laughing. You're like, ah, this is like this founder thought leadership. All right, yeah, so it's founder thought leadership. It's about being like, hey, what are the things that you're passionate now? It could be about like hiring engineers, right? It could be about building a world class engineering culture. It could be about building a super lean team. Like, but I would ask yourself to try and think from first principles, not from like the bias of the cool product you've built and the features and like none of that matters. The goal is to get them on a call or get them on a website to try it out. What matters is like, how do you get them to start the conversation to even like know you, like you, trust you. And that would be the core focus is like when you have these calls with other founders, like what are the things that they are most like take away them already knowing Run Pot because that is also a problem too, which is like you might think, oh, like if they already know Run Pot, like a lot of the conversations to have a founder, the founders, they might already know Run Pod, sure. So they might have more questions about Run Pod. But the goal is like, how do we attract people that may not know Run Pod? And so like what is going to get them interested? Like what are the conversations when someone does not hear about runpod that they're like struggling with day to day or connections? What would you say that is for you?

Zhen Lu: 37:15
Well, I just actually read an article by some of the partners at a16z around retention. So thinking about one of the problems that historically Run Pod has had is that we've been fortunate and we get a lot of users, right? And a lot of those users, well, all of our users historically in Run Pod have been paid users. We've only recently been fiddling with the very tiniest of free kind of service. And because of the way that the revenue curve pans out, and I believe this is similar for a lot of AI companies, is that you've got an insane long tail. So then the question is, in a world where you don't have the common SaaS metrics to fall back on, right? The SaaS playbook has been written, super easy to follow if you are like a SaaS business that's got monthly revenue based on a subscription. And that's just not the case for a lot of usage based AI companies because you can't afford to do that, how do you think about retention? How do you think about the new go to market metrics? Do you need to build your own? Are there benchmarks? So that's been an interesting journey of like, how can we distill signal from noise but not have to go so

overboard in like data science where nobody knows what the hell you're talking about? So over time, kind of building the muscle of like, how can you reliably talk about the traction in your business when everybody tends to think about businesses in a SaaS lens?

Eric Lay: 39:01
That is a really great, and that is super awesome for your ICP too because most of your ICP is not, they're not SaaS businesses, they're usage based businesses because those are the companies that have the most compute needs, right? So it's like talking about like business models, right? Pricing models, like retention models, like retention hacks and stuff like that or how to like keep your gross margin to a healthy place. Like what if like what you've Learned talking to VCs, how VCs think about it, how they price you out at seats. Like I think there's a lot of like interesting insights there that like your niche, like your type of founder that you're talking to would actually really value. Because I think where you might roll your eyes on the thought leadership stuff is usually when the person does the generic hiring advice or the generic fundraising advice or they like super broad, that's like one size fits all for everyone. And it's like, okay, this is just like more generic AI slot. But I think where you would be able to like bring in stuff that's interesting that you would want to read and that your, your friends, right. And your target customers would want to read is if we start getting a bit more niche into like the pain points of a founder that runs this type of business model. And I think that's like, that's like a very good place to start. And the way that like I can talk about like our process, the way that we typically work with our clients is like we have this like content researcher that like scrapes LinkedIn and we get access to all of the top performing posts in every vertical and niche. So we would start off by trying to figure out like what are the topics and things that like your, your type of customers are most interested in engaging with. So it's more like science backed content rather than just like doing what feels good or sounds good. It's like we already have a catalog of like formats and posts that we know have a higher likelihood of performing. And then it's about how do we like personalize it to you. So like the easiest way for us to do that like one, if you, I don't know if you have like sales calls, that's like one thing you could do is like you could give us access to sales call recordings and transcripts. Like if you record them with like your target ICP and we can use those conversations to create content. If you need us to create content without your time, then we can create context from all your meetings. Like and whenever you have your strategy meetings, like just the more data you give us like all your transcripts, whatever is relevant, the Better sales calls are usually the best for content because that's like speaking to your customer. But sometimes it's like the partnerships calls and what are people interested in? And then that's if you want us to do, like, stuff without your time. But ideally, if we want to level it up even further, that's where we do, like, a content interview. And so we'll like, I'll talk to you, right? And I'll just,

like, ask you questions and. And I'll just, like, based off of the viral topics, the things that are trending in the space, like, I'll get your fresh perspectives and takes on, like, what your thoughts are, and then we'll start, like, creating the content for you. And over time, when we learn your tone of voice, the more we do this, so like, the first, like, month or so there might be a bunch of revisions, like, might, like, want to have. Like, to get your tone of voice first. Like, month or two is like, really like, onboarding and getting, like, getting familiarity to be like, okay, this is how you write. This is the. Do we like this demographic? Do we like the strategy we're targeting? And then once we start getting the system, then, like, internally, you know, with our model, like our content writer, like, we have learned, like, the adjustments I need to make to, like, keep a consistent voice that feels, like, authentic to you. And so, like, usually depends on how much time you want to have. Like, if you want to be very active with this, like, we can meet up with our clients once a week now if you want to be more hands off, it could be like once a month as well to just kind of, like, check in and see. And if we need more content, like, I could even, like, connect with, like, Zach to like, pull things from him. Once we get, like, alignment on, you know, what we need. So someone like Zach could run, like, the operations of it to, like, kind of like pull certain transcripts and stuff like that, or like, relay certain messages from, like, your last meeting of, like, certain focus areas, et cetera. So that's like on the, the. The creation layer. And, you know, I think what we talked before is like, even just posting two, three times a week is like, a very good start. Just so that way you could start putting yourself out there and then combining that with, like, connecting with your ICP so that your ICP is actually, like, seeing your content. So, like, working with your team to build out a list of target accounts that you want to sell to. So that way, you know they're being engaged with and stuff like that makes Sense.

Zhen Lu: 44:00
Yeah, I'd probably lean more towards me spending a little bit more of an active, you know, as an active engager in this because I do want to start trying to build a little bit more of a habit now as time goes on. If that can be a little bit more delegated, fine. Or automated. My gut is that the more I put into the foundation, probably the better, you know, it can be. So starting off with like kind of me in absentia is probably not going to get us the best result.

Eric Lay: 44:33
Yeah. And the first like the first month of onboarding, like we want to be very hands on ideally. So like we will oftentimes meet like eight times over the first month. And it's a mix of like marketing and sales, like whoever is to make sure that like the whole company is like really aligned on the initiatives. Because the other thing that we'd want to be doing is amplifying your top performing channels or like the different big events that you have going on. So let's say you have like a big conference. I think you guys

were at a conference this week. Like if you have a big conference like this week, it's like how do we amplify the success of that? Right. How do we help use your profile to market, you know, your presence at that conference? And whether it's you already have some photos of like meeting people or if you had a speaking engagement, et cetera, like people should know to establish like credibility, authority that you are active in those circles and even tagging specific accounts. That's like syncing with the marketing team to be like what initiatives do you have? You have a big partnership that happen? Well, we should know in advance so we could plan it in our calendar so we could do a rollout of content about that partnership to capitalize on the hype because like big announcement posts always do really well. You have big fundraise coming up. Like we should do. We should have a full like multi week strategy on how do we like capitalize on the momentum of that to drive a lot of, you know, downloads a lot of awareness like before the fundraise. Right. How do you tease it, how do you announce it and how do you like follow up? So like that's where we like will fully integrate with your team. If there's like breaking news that happens in your industry, can we like, can we talk about it? Can we talk about something that you know is interesting, like the latest, like you know, OpenAI releases, a new model. You probably want to have a take on that and. Or just put yourself out there because like everyone's talking about it. How do we make sure that people see you as one of the forefront leaders that talks about, you know, the things that everybody is talking about when or if like when Surf gets acquired. Right. I think that's relevant for you, right, to have an opinion on and like what that means for the industry or what that means for the founders. Right. And so like those are things that like we want to like sync with your team on as well as just like capitalizing on those moments. And then on the sales side, if your sales team has target accounts, very specific companies that you're trying to sell to, we do this thing called like ABM Content, which is like account based marketing. It's very targeted content strategy. And so it's like if there's a specific company you want to sell to, we can post about that company and compliment them and like, maybe they're like a small seat user but like it's been like, you know, we've been tracking the growth of this company. They start, you know, working with this and you could talk about, or you could do like list posts here, like 6 of the top, you know, AI companies building in X, Y and Z space. Tag them, Take the founders. Now this like gives your sales team ammo to be like, hey, did you see, like a founder made this post? They could use that to like revive a conversation. Because you'll have enterprises or like, let's say bigger series A companies that have, you know, the capacity to spend, you know, 500k plus a year. It's worth putting some extra effort in to be like, okay, how do we like really massage their egos a bit, get them excited. So those are like additional things that, and that's why that first onboarding month is really key. And I know we're running a little bit over, so yeah, I'll kind of wrap up. And that's kind of the way that we think about it. So that first onboarding month, it's really about alignment across sales, marketing and yourself to get the strategy down. Right. And

then we could start planning out the content content calendar, get an interview going, get access to whatever you have for like existing, you know, transcripts and then start like pumping that out. Yeah.

Zhen Lu: 48:31
Cool. Taking a step back. I usually ask this near to the beginning, but as far as kind of your, what you wanted to drive with this meeting, did you get that? Like what, what kind of was the outcome that you wanted to drive from this meeting?

Eric Lay: 48:47
Yeah, yeah, that's a good direct question. I see why you would ask that. In the beginning, I think the biggest thing for me was, like, I want you to, like, properly understand the way that we think about content and how that could be, like, applied to you. Because this is our first time. So, like, first. First step is like, hey, building a level of trust to be like, okay, like, these guys, like, know what they're talking about. Like, they actually have, like, some really good systems plans that make sense. And hopefully you feel like you have, like, a much higher level of confidence in terms of, like, the way that we're approaching content, like, the thoughtfulness around it and how that, like, ties to, like, business use cases. And then I think the. The next one is really, like, me and Zach have talked for a while. I think we've coded some numbers, and I think it's like, seeing, like, hey, like, what is the timeline for this? Like, is this something that you guys are, you know, seriously looking to start? And if so, like, you know, can we align on, you know, budget timeline and. And whether, you know, this is something to look at in the near future or, like, park for the later.

Zhen Lu: 49:47
Yeah, got it. Okay. Let me try to hit some of those directly. So coming from my perspective, it's something that I know we need to do a better job at. So as far as from a priority perspective, you know, if we get started either, you know, by the end of this quarter or start of next quarter, I think, like, imminently is my preference as far as, you know, monetary. You know, I got. I'll kind of like Zach, lead that. My understanding is that you all have been talking about what it might look like again. There's a little bit of a reciprocal arrangement that could be had. I think that's perfectly fine. And I honestly, like, with the numbers that they're quoting around, I don't think coming to an agreement will be an issue as far as whether, you know, you and Vireo are the right fit. I trust Zach and Luke. So if they're saying that you're pretty credible and we want to give it a shot, like, I'm willing to give it a shot right now. We aren't doing anything. And, you know, it seems like just from the relationships and the current, you know, where the conversation currently is, I feel pretty good about it. So I hope that kind of, like, gets you what you are kind of looking for. And then from my perspective, it was great to hear

about the company. I think things that I would like to understand a little bit more about kind of like your vision for Vireo. What's AI and what's not. Like, what are you doing currently like as a founder versus like what are you going to lean on AI for today and in the future? As you'd mentioned, you're thinking about training some models. I can imagine kind of what you might be doing with this kind of stuff, but it would be cool to just kind of pick your brain, that kind of stuff. Obviously not today, but maybe in a follow up conversation.

Eric Lay: 51:39
Yeah. So I guess like the next time we chat, is it like would you want to get another call with like Zach and yourself to just kind of talk more about logistics and stuff like that or is it like preferred that me and Zach kind of sort it out ourselves? And if you want to talk about like the AI stuff like I can, we can set up a separate chat on that.

Zhen Lu: 51:59
Yeah, sure. Let's see. Let me, let me sync up with Zach and Luke around kind of just internally what we feel next step should be and then we will go from there. As far as next conversation between you and I. Yeah. Do we have a slack channel or anything like that or has there been anything.

Eric Lay: 52:20
Happy to set up one after this call and I can loop us all in.

Zhen Lu: 52:24
Yeah, I would say, you know, having, having maybe some async communication channel would be nice outside of email and then we can figure out what the next synchronous conversation could.

Eric Lay: 52:33
And I can loop my CTO in as well because I think that's also like he talks like me and him align a lot on like the product direction. And I think with the direction that we're going down now, like there's going to be more of a self serve sort of push in the new year. I think for us, like if we're focused on more like building product for ourselves, like the commute needs are going to be a lot smaller. Right. But then I think once you start, you know, going mass market plg, that's when like I think there's going to be higher demand. But yeah, happy to loop him in as well if you have like any questions on that.

Zhen Lu: 53:12
Yeah, cool, sounds good. All right, I'll make sure to sync with Zach and Luke after this and we'll, we'll get this rolling.

Eric Lay: 53:18
Yeah. All right, great to meet you. Thanks, Eric. Take care. Bye.